

15-2a Monopoly versus Competition

The key difference between a competitive firm and a monopoly is the monopoly's ability to influence the price of its output. A competitive firm is small relative to the market in which it operates and, therefore, has no power to influence the price of its output. It takes the price as given by market conditions. By contrast, because a monopoly is the sole producer in its market, it can alter the price of its good by adjusting the quantity it supplies to the market.

One way to view this difference between a competitive firm and a monopoly is to consider the demand curve that each firm faces. When we analyzed profit maximization by competitive firms in the preceding chapter, we drew the market price as a horizontal line. Because a competitive firm can sell as much or as little as it wants at this price, the competitive firm faces a horizontal demand curve, as in panel (a) of [Figure 2](#). In effect, because the competitive firm sells a product with many perfect substitutes (the products of all the other firms in its market), the demand curve that any one firm faces is perfectly elastic.

Figure 2

Demand Curves for Competitive and Monopoly Firms

Because competitive firms are price takers, they face horizontal demand curves, as in panel (a). Because a monopoly firm is the sole producer in its market, it faces the downward-sloping market demand curve, as in panel (b). As a result, the monopoly has to accept a lower price if it wants to sell more output.

By contrast, because a monopoly is the sole producer in its market, its demand curve is simply the market demand curve. Thus, the monopolist's demand curve slopes downward, as in panel (b) of [Figure 2](#). If the monopolist raises the price of its good, consumers buy less

of it. Put another way, if the monopolist reduces the quantity of output it produces and sells, the price of its output increases.

The market demand curve provides a constraint on a monopoly's ability to profit from its market power. A monopolist would prefer, if it were possible, to charge a high price and sell a large quantity at that high price. The market demand curve makes that outcome impossible. In particular, the market demand curve describes the combinations of price and quantity that are available to a monopoly firm. By adjusting the quantity produced (or equivalently, the price charged), the monopolist can choose any point on the demand curve, but it cannot choose a point off the demand curve.

What price and quantity of output will the monopolist choose? As with competitive firms, we assume that the monopolist's goal is to maximize profit. Because the firm's profit is total revenue minus total costs, our next task in explaining monopoly behavior is to examine a monopolist's revenue.

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